

Weather Prediction Markets Operating Book

A combined textbook + lab manual for learning, calibration, and disciplined profitability

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Contents

1	Chapter 1: Purpose, Philosophy, and Learning Objective	4
2	Chapter 2: Mental Model – Probability, Not Outcomes	5
3	Chapter 3: Market Selection – Scope and Constraints	6
4	Chapter 4: Strategy Framework Overview	7
5	Chapter 5: Threshold Fade Strategy	8
6	Chapter 6: Temperature Markets	9
7	Chapter 7: Precipitation Markets	10
8	Chapter 8: Station Awareness	11
9	Chapter 9: Bankroll Philosophy	12
10	Chapter 10: Position Sizing	13
11	Chapter 11: Correlation Risk	14
12	Chapter 12: Drawdown Rules	15
13	Chapter 13: Trade Logging	16
14	Chapter 14: Research – Market Side	17
15	Chapter 15: Research – Independent Analysis	18

16 Chapter 16: Reconciling Market vs Research	19
17 Chapter 17: Phase Progression	20
18 Chapter 18: Operating Principles	21

1 Chapter 1: Purpose, Philosophy, and Learning Objective

This operating book exists to support learning-first participation in weather-based prediction markets, specifically temperature and precipitation markets. Profit is treated as validation of correct probabilistic thinking, not the primary goal.

The objective is to develop: - Accurate probability intuition - Discipline under uncertainty - Clear separation between signal and noise - Long-term survivability

Prediction markets are trades on mispriced probabilities, not bets on outcomes.

2 Chapter 2: Mental Model – Probability, Not Outcomes

Each contract pays 1 if an event occurs and 0 if it does not. Market price equals implied probability.

The question is never “Will this happen?” but: “Is the market probability wrong, and if so, by how much?”

3 Chapter 3: Market Selection – Scope and Constraints

This playbook applies only to: - Single-day temperature markets - Single-day precipitation markets

Geographic focus: - Phoenix metro (PHX settlement stations)

Excluded: - Multi-day aggregates - Narrative weather events - Extreme precipitation tails ($\geq 1.00''$) - Laddering or multi-leg trades

4 Chapter 4: Strategy Framework Overview

Primary Strategy: Threshold Fade Always-On Lens: Station Awareness

Deferred (Phase 2+): - Late confidence fades - Seasonal base-rate overlays - Binary laddering

5 Chapter 5: Threshold Fade Strategy

Markets misprice probabilities near thresholds when the forecast mean approximates the cutoff and variance is wide.

Rules: - Trade only when market probability is 65–80% - Threshold must lie near forecast mean - Fade overstated confidence

6 Chapter 6: Temperature Markets

Characteristics: - Tight distributions - Lower variance - Strong station bias effects

Edge sources: - Overconfidence near round numbers - Ignoring wind, clouds, inversions

Execution: - Trade daily highs and lows - Fade confidence near median forecasts

7 Chapter 7: Precipitation Markets

Characteristics: - Skewed distributions - Fat tails - Localization sensitivity

Execution: - Focus on $\geq 0.10''$, $\geq 0.25''$, $\geq 0.50''$ - Smaller position sizes - Avoid $\geq 1.00''$ early

8 Chapter 8: Station Awareness

Settlement is mechanical, not experiential.

Rules: - Always verify settlement station - Nearby weather is irrelevant if it misses the sensor

9 Chapter 9: Bankroll Philosophy

Bankroll is learning capital.

Rules: - Fixed bankroll during Phase 1 - No top-ups or withdrawals - No confidence-based resizing

10 Chapter 10: Position Sizing

- Standard: 1% per trade
- Max: 2% after 20+ trades
- Max 3% per weather system

Caps: - Temperature: 1–1.5% - Precipitation: $\leq 1\%$

11 Chapter 11: Correlation Risk

Treat as correlated: - Same day - Same station - Same system

Never stack unknowingly.

12 Chapter 12: Drawdown Rules

Soft stop: - 10% drawdown □ cut size 50%, temp only

Hard stop: - 20% drawdown □ halt and review

13 Chapter 13: Trade Logging

Every trade must record: 1. Market & threshold 2. Market probability 3. Personal probability 4. Rationale
5. Invalidating conditions

14 Chapter 14: Research – Market Side

Study: - Price movement over time - Reaction to forecast updates - Liquidity changes - Narrative drift

15 Chapter 15: Research – Independent Analysis

Focus on: - Distributions, not point forecasts - Variance and confidence bands - Base rates and seasonality - Process failure points

16 Chapter 16: Reconciling Market vs Research

Quantify divergence. Identify assumptions. Trade only with explicit rationale.

17 Chapter 17: Phase Progression

Phase 1: Threshold Fade, Phoenix, calibration-first Phase 2: Confidence fades, base-rate overlays Phase 3: Laddering and structure analysis

18 Chapter 18: Operating Principles

- Boring is good
- Consistency beats cleverness
- Survival enables compounding
- Probability discipline is edge

This is a living document.